

Adani Enterprises Ltd

ADANIENT IN | NSE: ADANIENT | BSE: 512599 | Nifty 50 constituent | Diversified infrastructure incubation

The incubator has done the hard part. The price now assumes the harvest.

This is my own view on Adani Enterprises Ltd (AEL). I think fair value is around Rs 2,800, roughly 7% below the current price. AEL is India's most successful listed business incubator — it has built and released six large listed platforms in under three decades — and the current portfolio (airports, mining services, solar and wind manufacturing, copper, roads, data centres and defence) is finally moving from construction to cash generation. That is the good news, and it is already in the price: at Rs 3,010 the stock trades on ~21x FY27E EV/EBITDA and requires investors to underwrite the full FY30 build-out with almost no discount for execution risk, leverage or governance overhang.

My caution is about price, not about quality. I'd be a buyer of the franchise below Rs 2,600, and I expect the demerger of Adani Airport Holdings to be the single largest value-crystallising event of the next 24 months.

Price (May 2026)	Rs 3,010
Market cap	Rs 4.04 lakh cr
Enterprise value	Rs 4.91 lakh cr (E)
52-week range	Rs 1,753 - 3,245
Shares o/s (post-QIP)	134.2 cr
Face value	Rs 1
Promoter holding	71.97%
FII / DII	10.8% / 6.7%
FY26 EBITDA	Rs 16,464 cr
Net debt / equity	0.85x

Promoter, FII and DII per Mar-26 filing, adjusted for the Jul-26 QIP. EV uses my own net-debt estimate.

INVESTMENT SUMMARY

- **Six platforms built, six released.** AEL is not a conglomerate in the usual sense; it is an incubator with a repeatable operating system. Adani Ports, Adani Power, Adani Energy Solutions, Adani Green, Adani Total Gas and Adani Wilmar were each incubated inside AEL and then demerged or divested. The current cohort — airports, roads, data centres, copper, the new-energy manufacturing chain and defence — is the seventh turn of the same flywheel, and management has explicitly named airports, roads and Adani New Industries as the platforms closest to value unlocking.
- **The construction phase is ending.** FY26 was the crossover year: 80% of consolidated EBITDA now comes from core infrastructure incubating businesses and mining services, Navi Mumbai International Airport and the Ganga Expressway were commissioned, and the Kutch copper smelter began ramping. Q1 FY27 delivered a record Rs 5,642 cr of EBITDA, up 49% year on year, on revenue up 50%.
- **Defence is small, high-quality and mispriced by neglect.** Adani Defence & Aerospace contributes an estimated 3-4% of AEL's capex and low-single-digit percentages of EBITDA today, but it sits on the right side of every structural trend in Indian defence: a Rs 7.85 lakh cr FY27 budget with 75% of capital acquisition ring-fenced for Indian vendors, a Rs 82,218 cr 'other equipment' line skewed to drones and electronic warfare, and a DRDO pipeline (NGARM, RUDRAM-II, NASM-SR, Gaurav, TARA) now moving from trials to serial production at Adani's Kanpur and new Shivpuri complexes.
- **The moat is real but unevenly distributed.** Airports (30-50 year concessions, regulated tariffs, non-aero optionality) and mining services (long-tenor MDO contracts, 93.1 MMTPA of peak contracted capacity) are genuine franchises. Copper smelting and solar module manufacturing are price-taking businesses whose returns depend on spreads and policy. Investors should not pay a franchise multiple for the whole.
- **Valuation is the binding constraint.** My sum-of-the-parts on FY29E EBITDA of Rs 33,800 cr gives Rs 2,800 per share after net debt of ~Rs 1.03 lakh cr and a 10% conglomerate discount. The stock at Rs 3,010 is already at 14.5x FY29E EV/EBITDA — a multiple that is defensible only if every asset ramps on schedule and leverage peaks soon. I prefer to wait.

My view

The business case for AEL is stronger today than at any point since 2022 — the assets are built, the mix has shifted to contracted infrastructure, and the balance sheet has been recapitalised through a Rs 24,930 cr rights issue and a Rs 15,000 cr QIP. But a 41% year-to-date rally has moved the stock from discounting execution risk to discounting execution success. I put fair value at about Rs 2,800 and would add meaningfully below Rs 2,600 or on confirmation of an airports demerger timetable.

WHAT ADANI ENTERPRISES ACTUALLY IS

Incorporated in 1993 as a commodity trading house, AEL is today the flagship and incubation vehicle of the Adani Group. Its function is unusual among Indian large caps: it originates capital-intensive infrastructure businesses, funds them through the loss-making construction years, stabilises them operationally, and then releases them to shareholders — either by demerger and separate listing, or by selling a controlling or strategic stake. It has done this six times.

This matters for how the company should be analysed. AEL's reported profit and loss statement is close to meaningless in any single year: it blends a low-margin commodity trading book (integrated resources management), a stable annuity business (mining services), several assets in their first year of commercial operation carrying full depreciation and interest but partial revenue, and periodic exceptional gains from divestments. In FY26, an exceptional gain of Rs 9,215 cr from the Adani Wilmar stake sale and the transfer of cement units to Ambuja accounted for more than two-thirds of reported profit before tax. In Q1 FY27, a one-time USD 275 mn (Rs 2,644 cr) settlement with the US Office of Foreign Assets Control pushed the company to a reported loss of Rs 1,160 cr despite record operating earnings. Neither number tells you anything about the underlying franchise.

The right lens is platform-level EBITDA, asset-level capital employed, and the credibility of the monetisation path. I use all three below.

Exhibit 4: The incubation flywheel, run six times since 1998

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APSEZ, Adani Power, AESL, AGEL, ATGL and AWL were all built and released this way



Source: Company disclosures, my own analysis. Data as of May 2026.

Why the model has worked in India specifically

Three conditions have made the incubation model unusually productive for Adani. First, India's infrastructure gap is policy-directed: airports, roads, transmission and mining are opened through competitive concessions in which the binding constraint is not demand but the ability to arrange land, clearances, EPC capacity and long-tenor capital simultaneously. Second, Adani has vertically integrated the inputs — it owns the EPC capability, the port and logistics chain, and increasingly the power and the components. Third, the group has demonstrated repeatedly that it can raise structured capital at scale: USD 1.75 bn of airport financing in FY26, a Rs 24,930 cr rights issue, Rs 1,000 cr of retail NCDs, and in July 2026 a Rs 15,000 cr QIP that was 3.8x subscribed — the largest QIP ever by an Indian non-financial corporate.

The corollary is that the model is capital-hungry by construction. Free cash flow has been negative in four of the past five years, and gross borrowings have risen 2.6x since FY22. This is a feature of the business model, not an accident — but it is also the reason the equity should not be valued as if it were a collection of mature franchises.

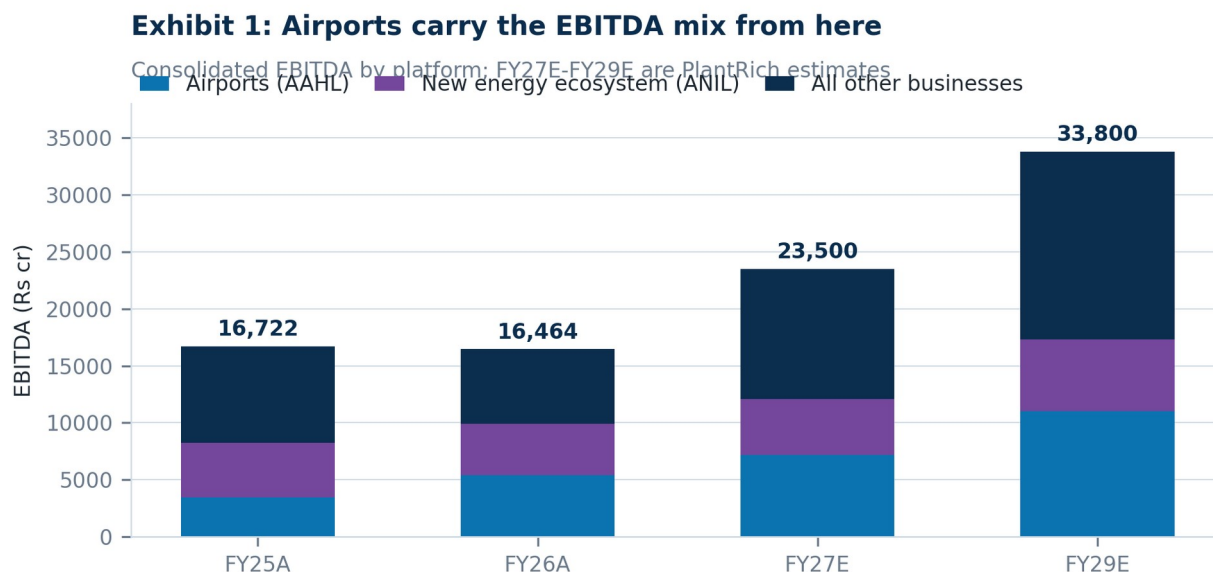
THE PORTFOLIO, BUSINESS BY BUSINESS

AEL reports two incubating platforms separately (airports and the Adani New Industries new-energy ecosystem) and folds everything else into the consolidated numbers. The table below sets out my estimate of the shape of each business. Volumes and disclosed platform EBITDA are as reported; the split of the residual is my estimate.

Exhibit 10: Portfolio map — what each business does and where it is in its life cycle

Business	What it does	FY26 scale	Stage	FY29E EBITDA (Rs cr)
Airports (AAHL)	Operates seven brownfield airports plus Navi Mumbai International; aero tariffs are regulated, non-aero (retail, F&B, duty free, real estate, hotels) is not	95.3 mn pax; Rs 5,394 cr EBITDA	Ramping	11,000
Mining services (MDO)	Develops and operates coal and mineral mines for third-party owners on long-tenor contracts; asset-light, fee-based	49.4 MMT dispatch; 93.1 MMTPA peak contracted	Mature annuity	4,300
New energy (ANIL)	Integrated solar module and wind turbine manufacturing plus green hydrogen; 5.7 GW module lines	4,904 MW modules; 231 WTG sets; Rs 4,532 cr EBITDA	Ramping	6,300
Copper (Kutch Copper)	0.5 mtpa greenfield copper smelter and refinery at Mundra; LME-registered 'Adani Copper' Grade-A cathodes	113.6 kt sales in FY26; 64.7 kt in Q1 FY27 alone	Early ramp	4,600
Roads (ARTL)	20 HAM, BOT and TOT road projects including the Ganga Expressway, India's largest greenfield expressway	1,451.7 lane-km built in FY26	Turning cash-positive	3,000
Data centre (AdaniConneX)	50:50 JV with EdgeConneX; hyperscale campuses at Chennai, Noida, Hyderabad, Pune, Mumbai and Vizag	65.4 MW live; 960+ MW contracted; 2 GW target by 2030	Early build	1,500 (AEL share)
Defence & aerospace	UAVs and counter-UAS, ammunition and missiles, small arms, avionics, MRO and pilot training	Kanpur and Gwalior complexes; Shivpuri under construction	Inflecting	1,400
IRM	Bulk commodity sourcing and trading, principally imported coal; low margin, working-capital light	44.6 MMT sales volume (-21% YoY)	Declining	1,200
Other incubation	Aluminium JV with IRH (USD 11.5 bn, Odisha), PVC, water, agri, Sonprayag-Kedarnath ropeway	Pre-revenue to early stage	Optionality	500

Source: AEL Q4 FY26 and Q1 FY27 results releases and media releases; FY29E EBITDA are my own estimates. Volumes as reported by the company.

Exhibit 1: Airports carry the EBITDA mix from here

Source: Company results releases (FY25, FY26 disclosed for AAHL and ANIL); my own estimates. Data as of May 2026.

Airports: the crown asset, and the one that will be released first

Adani Airport Holdings is now India's largest private airport operator, handling 95.3 mn passengers in FY26 across Mumbai, Ahmedabad, Lucknow, Mangaluru, Jaipur, Guwahati, Thiruvananthapuram and the new Navi Mumbai International Airport, which began domestic operations in December 2025 and international operations on 15 July 2026. Airport EBITDA grew 55% in FY26 to Rs 5,394 cr and a further 49% year on year in Q1 FY27 to Rs 1,633 cr, with non-aeronautical revenue up 53% — the highest-quality line in the group because it is unregulated, high-margin and structurally under-penetrated in India relative to global peers.

The economics of a concession airport are close to ideal: a 30-plus year exclusive right over a natural monopoly catchment, a regulated aeronautical return floor, and an uncapped non-aero and real-estate upside on land the operator already controls. Adani is now layering that upside deliberately — 655 acres of airport-city development across five states, a five-hotel deal with IHG, FedEx's automated cargo hub at Navi Mumbai, and in-terminal quick commerce with Blinkit. Reported discussions to raise USD 1.3 bn from a consortium including Temasek and Alpha Wave Global valued AAHL at around USD 18 bn against management's ambition of over USD 20 bn; a public listing is targeted somewhere between 2027 and 2030. That listing is the most important single catalyst in this story.

The near-term drag is accounting, not economics. Capitalising Navi Mumbai in Q4 FY26 pushed the airports platform to a PBT loss of Rs 194 cr in Q1 FY27 even as EBITDA hit a record, because a fully built asset carries full depreciation and interest against partial traffic. This will repeat as Guwahati and the Mumbai T1 modernisation come through. Investors who anchor on reported profit will misread the ramp.

Mining services and IRM: the cash engine and the melting ice cube

The mine developer and operator (MDO) business is the least discussed and, on a risk-adjusted basis, one of the best assets AEL owns. Adani builds and runs mines for state generation companies and other owners under contracts that typically run the life of the mine, earning a per-tonne fee with limited commodity price exposure and no ownership of the resource. It holds 13 contracts with peak capacity of 93.1 MMTPA, of which FY26 dispatch was 49.4 MMT — implying roughly half the contracted capacity is still to be commissioned. The Dhirauli mine in Madhya Pradesh went live in Q1 FY27.

Integrated resources management, the legacy coal import and trading business, is going the other way: FY26 volumes fell 21% to 44.6 MMT and Q1 FY27 sales volumes fell a further 35%, though the higher-margin handling book grew 34%. I model IRM as a structurally declining, low-multiple annuity. Its shrinkage is a positive for AEL's earnings quality and a negative for headline revenue growth.

New energy, copper and roads: three very different risk profiles

Adani New Industries covers solar module and wind turbine manufacturing and the group's green hydrogen ambitions. Module capacity reached 5.7 GW after a 1.7 GW line was commissioned in June 2026, and Adani Wind

is the only Indian company in BloombergNEF's global top-15 turbine manufacturers. The business is real and domestic demand now fully absorbs what was previously export volume. But it is a manufacturing business exposed to Chinese module pricing, ALMM policy and import duty settings — cyclical, not franchise. FY26 EBITDA fell 5% and Q1 FY27 fell 20% year on year. I value it on a manufacturing multiple, not an infrastructure one.

Kutch Copper is a genuine call option. India imports most of its refined copper; a 0.5 mtpa integrated smelter at Mundra with LME brand registration (granted July 2026) is import substitution at national scale, and the ramp has been fast — Q1 FY27 sales of 64.7 kt were 4.6x the prior year and contributed Rs 749 cr of EBITDA in a single quarter. But smelter economics are a spread business: treatment and refining charges have been historically weak, and the asset's earnings will swing with them. I apply a commodity multiple.

Roads have quietly become one of the better executions in the group. Twenty projects, 1,451.7 lane-km built in FY26, and the Ganga Expressway — India's largest greenfield expressway — completed in under 3.5 years and tolling from 15 May 2026. HAM and TOT structures carry annuity or established-traffic cash flows rather than greenfield demand risk, which is the right way to own Indian roads.

DEFENCE AND AEROSPACE: THE OPTION THE MARKET IS NOT PAYING FOR

Adani Defence & Aerospace is the group's defence and aerospace arm inside AEL, and describes itself as India's largest integrated private defence and aerospace company. It is deliberately structured as a system-integration and sustainment business rather than a pure product manufacturer — management has indicated that defence and technology absorbs only about 3-4% of AEL's total capital expenditure. That is the key financial fact about this segment: it is capital-light relative to everything else in the portfolio, and therefore its return on capital, once volumes scale, should be materially higher than the group average.

What it actually builds

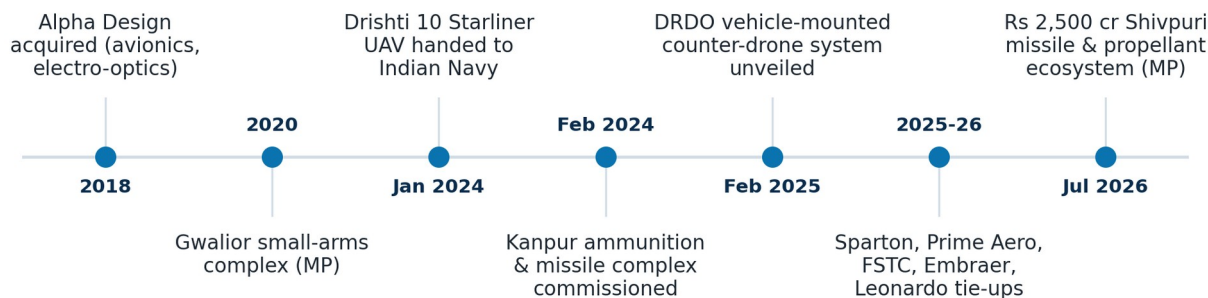
The portfolio spans four clusters. Unmanned systems is the most visible: the Drishti 10 Starliner is a medium-altitude long-endurance ISR platform with 36 hours of endurance and 450 kg of payload, assembled at Hyderabad, derived from the Elbit Hermes 900 lineage and — importantly for export credibility — the only all-weather Indian military UAV certified to NATO's STANAG 4671 airworthiness standard, which clears it to fly in both segregated and unsegregated airspace. Below it sits a tactical and small-UAS family: Drishti 6, Aramukhi 6, SNAP-X, SPOT Mini, Alakh and Magpie, covering border monitoring, room intervention and persistent area surveillance. On the defensive side, Adani and DRDO unveiled a vehicle-mounted counter-drone system at Aero India 2025 combining laser effectors, radar and jammers.

The second cluster is munitions and missiles. The Kanpur ammunition and missile complex, commissioned in February 2024, is South Asia's largest private-sector facility of its kind. In July 2026 the company broke ground on a Rs 2,500 cr project at Shivpuri, Madhya Pradesh, combining missile system integration with composite propellant and TNT production at a single site — India's first backward-integrated private capability of that type, creating 5,000 direct and indirect jobs. The strategic point is sequencing: several DRDO-developed systems trialed with Adani, including the Next Generation Anti-Radiation Missile, RUDRAM-II, the Naval Anti-Ship Missile (Short Range), the Gaurav long-range glide bomb and the TARA autonomous reconnaissance and attack system, are moving from successful trials to serial production, and serial production is where the propellant and explosive-fill bottleneck has historically sat.

Third is small arms. Since 2020 the Gwalior complex has supplied pistols, carbines, light machine guns and assault rifles to the Indian armed forces — a low-glamour, high-repeat consumable business with sticky qualification barriers. Fourth is sustainment and services: the Rs 820 cr acquisition of FSTC, India's leading flight training provider, the Indamer Technics MRO acquisition with Prime Aero, plus partnerships with Sparton (anti-submarine sonobuoys), Embraer (regional transport aircraft) and Leonardo (helicopter ecosystem).

Exhibit 5: Eight years of capability build, now converging on serial production

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Source: Company media releases, my own analysis. Data as of May 2026.

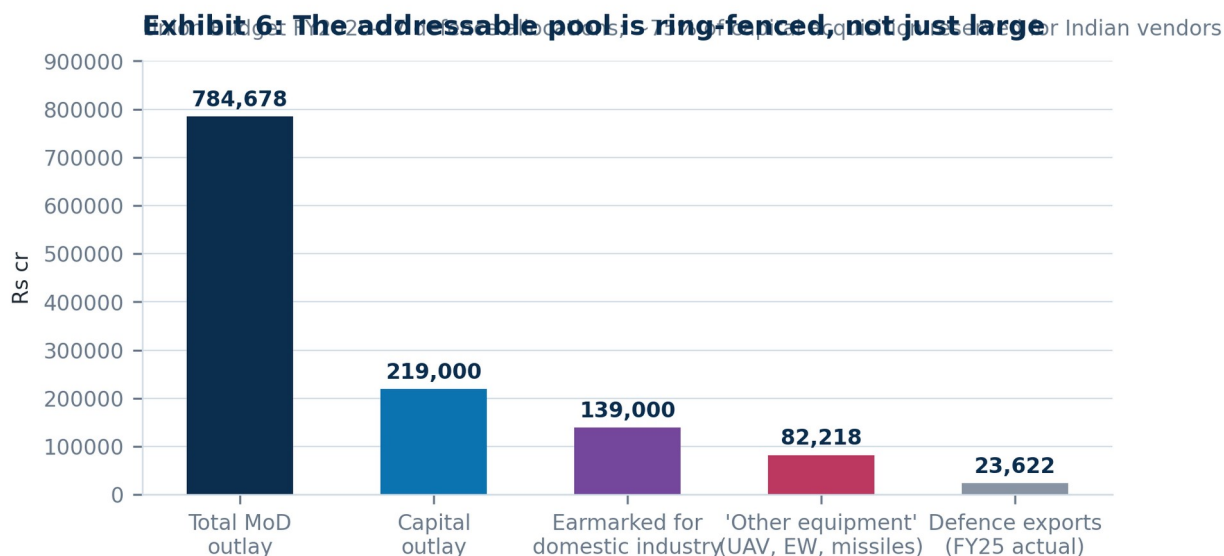
Why the sector looks good — and why that is not the same as a good stock

India's FY2026-27 defence budget is Rs 7,84,678 cr, up roughly 15% year on year, about 14.7% of the Union Budget and around 2% of GDP. What matters more than the headline is its composition. Capital outlay rose about 21.8% to roughly Rs 2.19 lakh cr, lifting capital to about 28% of defence spending; approximately Rs 1.39 lakh cr is earmarked for procurement from Indian industry, with around 75% of the capital acquisition budget reserved for domestic vendors including private firms. The single largest capital acquisition head, 'other equipment' at Rs 82,218 cr and up 30.3%, is precisely the line that funds UAVs, drone swarms, electronic warfare suites, network-centric warfare tools and surveillance gear.

Behind the budget sits a deep order pipeline: the Defence Acquisition Council accorded Acceptances of Necessity worth Rs 3.3-3.6 lakh crore during FY26, nearly twice the annual capital outlay. Three structural shifts reinforce this. Operation Sindoor in May 2025 demonstrated the operational utility of drone-based ISR and strike at scale and accelerated procurement priorities. Indigenous platforms have matured enough to compete with imports on core requirements. And the policy exclusion of Chinese-origin components has removed the cheapest competitor from the Indian military market entirely, leaving the addressable space to US, Israeli and Indian suppliers.

Exports are the second leg. India's defence exports reached a record Rs 23,622 cr in FY25, of which the private sector contributed Rs 15,233 cr — private firms now export nearly twice what the defence PSUs do. Adani's STANAG-certified UAV and its stated intent to supply 'trusted international partners' from Shivpuri position it for that channel.

Exhibit 6: The addressable pool is ring-fenced, not just large



Source: Union Budget FY27 documents, Ministry of Defence, IBEF. Data as of May 2026.

The honest caveat: Indian defence procurement converts slowly. The gap between Acceptance of Necessity and contract signature has historically run to years, order lumpiness makes quarterly earnings unforecastable, and a single programme slipping can move a year's revenue. Adani's own management has flagged that defence is more services-driven than product-driven and therefore takes longer to scale. I model defence at Rs 1,400 cr of FY29E EBITDA — roughly 4% of group EBITDA — and value it at 30x, a premium multiple that reflects growth and capital efficiency rather than current size. Even at that multiple it is only about 8% of my gross asset value. Investors buying AEL for the defence story are buying a small slice at a high price.

WHERE THE MOAT IS, AND WHERE IT IS NOT

The word 'moat' is used loosely about Adani. It is worth being precise, because the portfolio contains at least three distinct kinds of competitive advantage and two businesses with essentially none.

1. Concession and regulatory moats. Airports and roads are legally exclusive for decades. A competitor cannot build a second Mumbai airport. This is the strongest form of moat available in infrastructure and it is why I apply the highest multiple in the SOTP to AAHL.

2. Contract and switching-cost moats. Mining service contracts run the life of the mine and re-tendering mid-contract is operationally disruptive for the mine owner. Data centre capacity, once tied to a hyperscaler under a long-term agreement — AdaniConneX has 960+ MW contracted against 65.4 MW live — is similarly sticky. Defence qualification is the extreme case: once a platform is inducted and a supply chain certified, displacement takes a decade.

3. Execution and access moats. This is the contested one, and it is where Adani genuinely differs from peers. Building the Ganga Expressway in under 3.5 years, or commissioning a greenfield international airport, is not something most Indian developers can finance, clear and deliver. The ability to assemble land, clearances, EPC capacity and 20-year capital simultaneously is rare and compounds — each delivered project makes the next concession easier to win and cheaper to fund. Critics characterise this as political proximity rather than capability. Both readings are consistent with the observed outcome; only one of them is durable, and that ambiguity is itself part of the investment risk.

4. No moat. Copper smelting and solar module manufacturing are commodity conversion businesses. Their returns are set by treatment charges, module spreads and trade policy, not by anything Adani controls. IRM is a trading book. These should be valued at commodity and manufacturing multiples, and I do.

Exhibit 3: Two of AEL's businesses are franchises; two are price takers

PlantRich assessment of moat quality across the AEL portfolio

Exhibit 3: Two of AEL's businesses are franchises; two are price takers

Source: my own analysis assessment. Data as of May 2026.

How AEL is positioned to perform

Four things have to go right, and three of them are already visibly going right. Utilisation: assets commissioned in FY25-26 (Navi Mumbai, Ganga Expressway, Kutch Copper, the fourth and fifth data centres) need to fill, and Q1 FY27 shows copper at 4.6x volumes, airports EBITDA up 49% and tolling started. Operating leverage: with capex largely sunk, incremental revenue converts to EBITDA at high rates — group EBITDA margin ex-other income improved to 15.25% in Q1 FY27. Balance sheet: the rights issue and QIP together added roughly Rs 40,000 cr of equity and took consolidated net debt to equity to 0.85x. Monetisation: this is the one still to be proven in this cycle — the airports stake sale is under negotiation, the aluminium project is being funded 50:50 with Abu Dhabi's IRH rather than off AEL's balance sheet, and no demerger timetable has been announced.

FINANCIAL SUMMARY

Year to 31 March (Rs cr)	FY25A	FY26A	FY27E	FY28E	FY29E
Total income	100,365	102,943	132,000	152,000	172,000
Growth (%)	2.5	2.6	28.2	15.2	13.2
EBITDA	16,722	16,464	23,500	29,000	33,800
EBITDA margin (%)	16.7	16.0	17.8	19.1	19.7
Depreciation	4,211	6,135	9,500	11,000	12,500
Net finance cost	5,978	6,019	8,000	8,500	8,800
PBT before exceptionals	6,533	4,309	6,000	9,500	12,500
Exceptional gain / (charge)	3,946	9,215	(2,644)	-	-
PAT attributable to owners	7,112	9,339	780	5,640	7,500

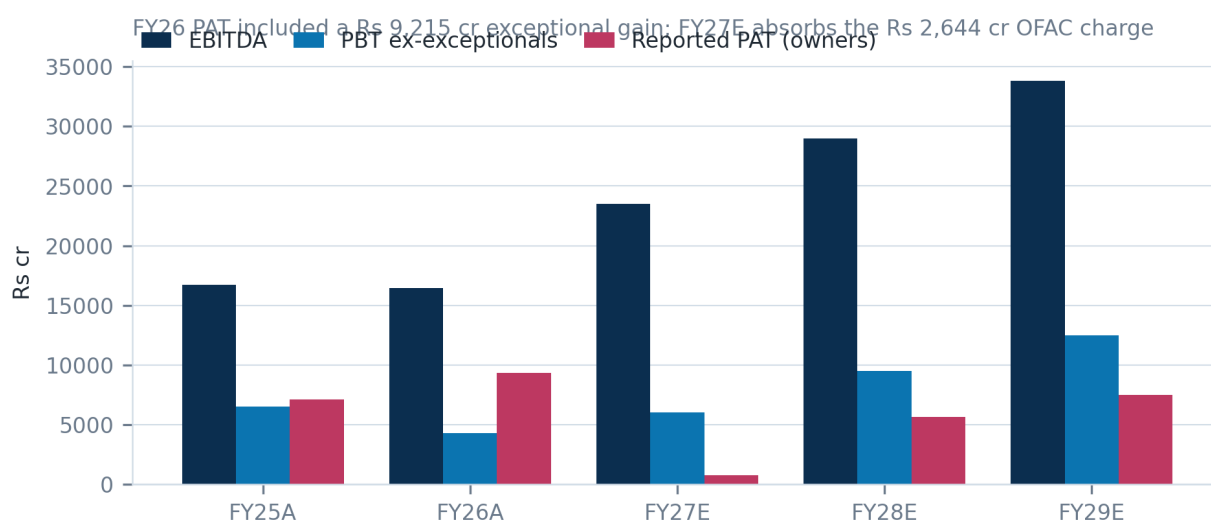
Year to 31 March (Rs cr)	FY25A	FY26A	FY27E	FY28E	FY29E
EPS (Rs)	61.9	72.3	5.8	42.0	55.9
Adjusted EPS ex-exceptionals (Rs)	27.5	20.0	25.5	42.0	55.9
ROCE (%)	9.0	5.8	7.0	9.0	10.0
Net debt	83,000	96,000	100,000	108,000	103,000
Net debt / EBITDA (x)	5.0	5.8	4.3	3.7	3.0
EV / EBITDA at CMP (x)	29.4	29.8	20.9	16.9	14.5

Source: Company results releases for FY25 and FY26 (EBITDA and PBT as defined by the company, including other income); Screener.in for balance-sheet history. FY27E-FY29E, adjusted EPS, net debt and all ratios are my own estimates. EV/EBITDA computed on CMP of Rs 3,010 and 134.2 cr shares.

Read the adjusted EPS line, not the reported one. On a like-for-like basis stripping exceptional items, AEL earned roughly Rs 20 per share in FY26 against a share price of Rs 3,010. The stock is not remotely supportable on current earnings and is not intended to be; the entire case rests on the FY28-FY30 ramp. FY27 is a transition year in which depreciation from Navi Mumbai and the copper plant, plus the OFAC charge, will suppress reported profit even as EBITDA grows nearly 43%.

Exhibit 2: Headline profit is noise; EBITDA is the signal

Exhibit 2: Headline profit is noise; EBITDA is the signal



Source: Company filings and results releases, my own analysis. Data as of May 2026.

VALUATION

I value AEL on a sum of the parts. A consolidated DCF is not appropriate here: the businesses have different capital structures, different asset lives, different terminal economics and — critically — different probabilities of being separated from the parent within the forecast horizon. Nor do I publish a peer-multiple table, because AEL has no clean listed comparable in India or globally; a table of loosely related tickers would create false precision. Instead I anchor each multiple to an observable reference and disclose it.

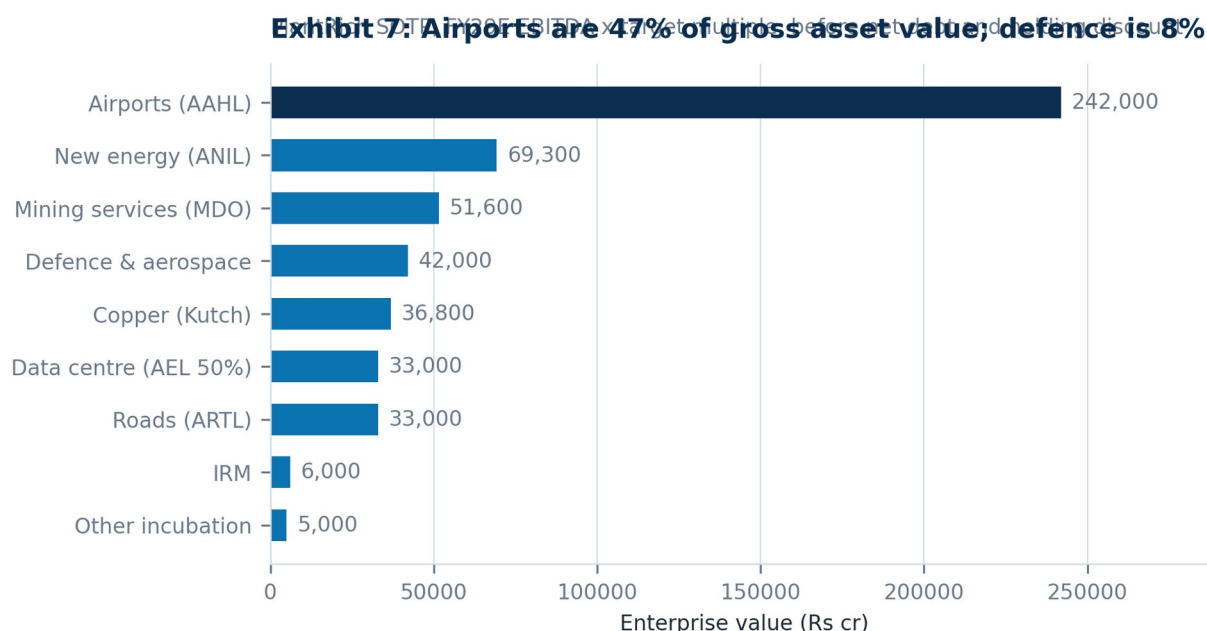
Exhibit 11: Sum-of-the-parts valuation, FY29E basis

Business	FY29E EBITDA	Multiple (x)	EV (Rs cr)	Basis for the multiple
Airports (AAHL)	11,000	22.0	242,000	Reported private-market discussions at ~USD 18 bn; long-dated concessions, unregulated non-aero upside
New energy (ANIL)	6,300	11.0	69,300	Global solar and wind manufacturing multiples; cyclical, policy-exposed

Business	FY29E EBITDA	Multiple (x)	EV (Rs cr)	Basis for the multiple
Mining services (MDO)	4,300	12.0	51,600	Long-tenor fee contracts, minimal commodity exposure, asset-light
Defence & aerospace	1,400	30.0	42,000	Growth and capital efficiency premium; Indian defence peers trade at a premium to market
Copper (Kutch)	4,600	8.0	36,800	Commodity smelting spread business; TC/RC cyclicity
Data centre (AEL 50% of ACX)	1,500	22.0	33,000	Contracted hyperscale capacity; 960+ MW tied up vs 65.4 MW live
Roads (ARTL)	3,000	11.0	33,000	HAM and TOT annuity structures, limited greenfield demand risk
IRM	1,200	5.0	6,000	Structurally declining low-margin trading book
Other incubation	500	10.0	5,000	Aluminium JV, PVC, water, ropeway; largely optionality
Aggregate enterprise value	33,800	15.3	518,700	Blended multiple
Less: net debt (FY29E)			(103,000)	Assumes partial monetisation; see sensitivity
Equity value before discount			415,700	
Less: conglomerate / execution discount (10%)			(41,570)	Capital intensity, no announced demerger timetable, governance overhang
Equity value			374,130	Divided by 134.2 cr shares
My fair value (Rs per share)			2,800	Rounded from Rs 2,788

Source: my own estimates. The USD 18 bn AAHL reference is per press reports of ongoing investor discussions and is used as a directional cross-check only, not as a transaction value.

Exhibit 7: Airports are 47% of gross asset value; defence is 8%



Source: my own estimates. Data as of May 2026.

Sensitivity

Two variables dominate: the blended exit multiple and the level of FY29E EBITDA. Net debt is the third and is held at Rs 1.03 lakh cr in the grid below; every Rs 10,000 cr of additional net debt costs roughly Rs 67 per share.

Value per share (Rs)	EBITDA 30,000	32,000	33,800	36,000	38,000
13.0x	1,925	2,099	2,256	2,448	2,622
14.0x	2,126	2,314	2,483	2,689	2,877
15.0x	2,327	2,528	2,709	2,931	3,132
15.3x (base)	2,387	2,595	2,788	3,004	3,215
16.0x	2,528	2,743	2,936	3,172	3,387
17.0x	2,730	2,958	3,163	3,414	3,642

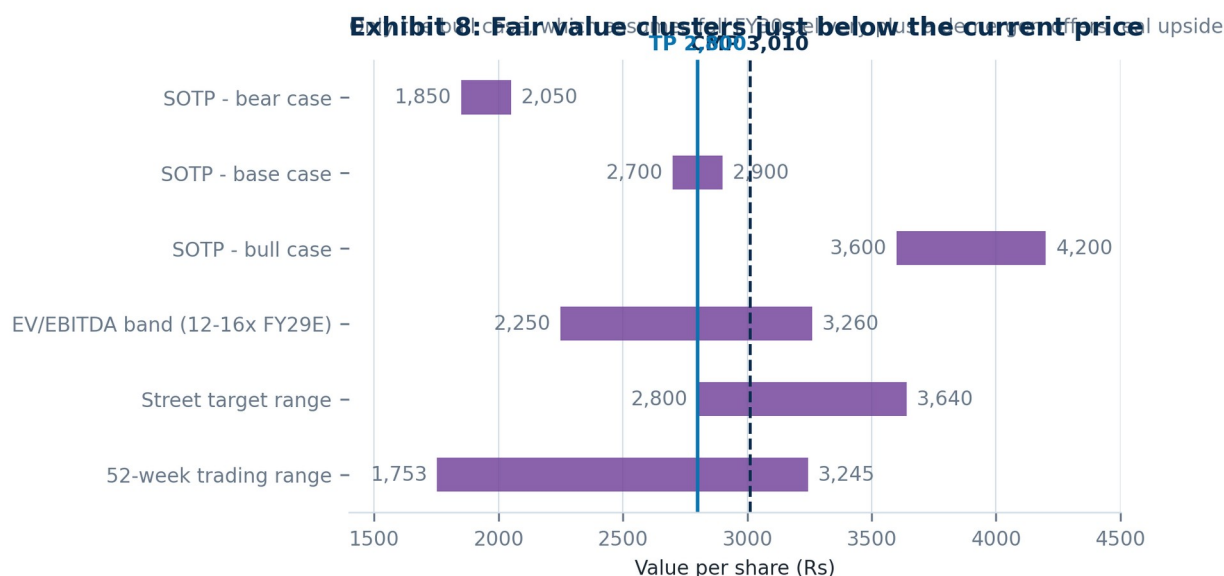
Source: my own analysis. Grid holds FY29E net debt at Rs 1,03,000 cr and applies a 10% conglomerate discount throughout. Base case shaded row.

Scenarios

Scenario	What is different	Value (Rs)	Probability
Bull	Morgan Stanley's FY30 EBITDA of Rs 42,300 cr is achieved; airports demerger is announced and removes the conglomerate discount entirely; data centre contracted capacity converts on schedule	3,600 - 4,200	25%
Base	Assets ramp broadly to plan; airports listed but not before FY29; partial monetisation holds net debt near Rs 1.03 lakh cr; discount persists at 10%	2,800	50%
Bear	Airport traffic and copper spreads disappoint; capex overruns push net debt to Rs 1.25 lakh cr; multiples derate one notch across the board; no monetisation	1,850 - 2,050	25%

Source: my own estimates. Bull case cites Morgan Stanley's published FY30 EBITDA forecast as reported in the press; probabilities are my own.

Exhibit 8: Fair value clusters just below the current price

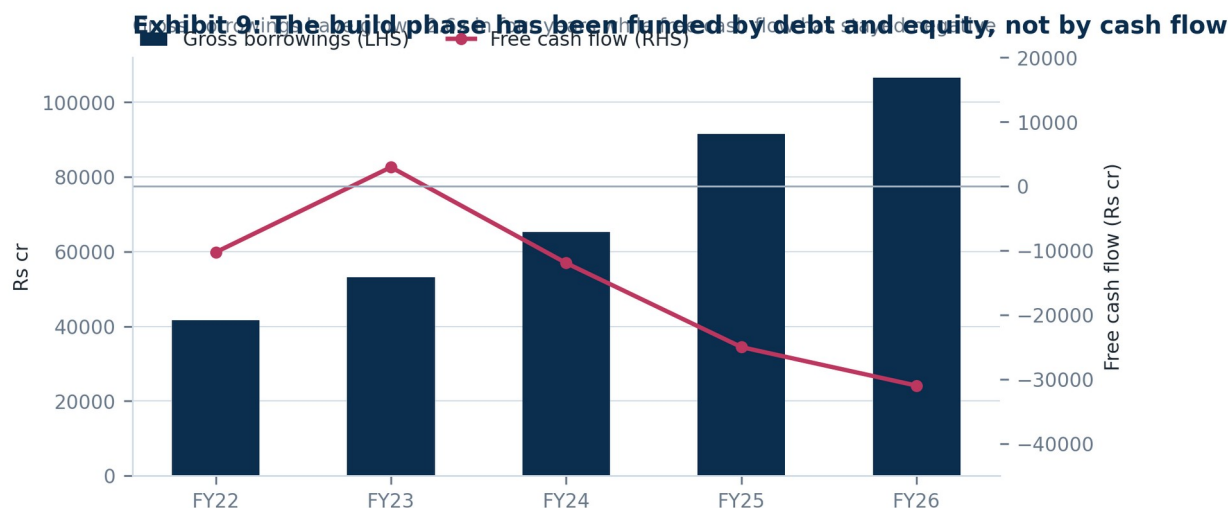


Source: my own estimates; street targets per Morgan Stanley and Jefferies as reported. Data as of May 2026.

My fair value of Rs 2,800 sits close to Jefferies' Rs 2,800 and well below Morgan Stanley's Rs 3,638. The gap between those two published targets is almost entirely a question of which forecast year you capitalise and whether you apply a holding discount — which is a fair summary of the debate on this stock.

RISKS

Leverage and negative free cash flow. Gross borrowings reached Rs 1,06,622 cr at March 2026 and free cash flow has been negative in four of the last five years, most recently at Rs 30,993 cr. The equity raises have bought time, not a cure; the model requires continuous access to capital. What would change my mind: two consecutive years of positive free cash flow, or net debt to EBITDA sustainably below 3x.

Exhibit 9: The build phase has been funded by debt and equity, not by cash flow

Source: Company annual reports via Screener.in. Data as of May 2026.

Governance and legal overhang. The November 2024 US Department of Justice indictment involving group principals is unresolved. AEL settled separately with OFAC for USD 275 mn in May 2026, which removes one head of risk but does not close the matter. This is why international investors have been persistent net sellers — FII holding fell from 17.75% in March 2023 to 10.80% in March 2026 — and why a conglomerate discount is warranted. What would change my mind: a full and final resolution of the US proceedings.

Monetisation may not happen on the expected timetable. Management has named airports, roads and ANIL as candidates for value unlocking but has announced no schedule. Press reports suggest the AAHL stake sale has stalled on valuation — investors at USD 18 bn against management's USD 20 bn plus — and that investors sought structured downside protection, which the group rejected. A multi-year delay would leave the incubation discount in place indefinitely.

Concentration in a single ramp. Airports are 47% of my gross asset value and the majority of forecast EBITDA growth. Navi Mumbai's traffic build, the Mumbai T1 modernisation and the airport-city land monetisation all have to work. Indian aviation demand has been strong, but a single-asset concentration of this size in a diversified holding company is a genuine risk, not a diversification benefit.

Commodity and policy exposure in copper and solar. Kutch Copper's earnings are a spread on treatment and refining charges; ANIL's are a spread on module and turbine pricing set substantially by Chinese supply and by Indian duty and ALMM policy. Roughly a third of my FY29E EBITDA sits in businesses with no pricing power.

Defence-specific: order conversion risk. Indian defence contracting is slow and lumpy. My Rs 1,400 cr FY29E EBITDA for the segment assumes several DRDO programmes reach serial production on the current schedule. Slippage of two years would cut roughly Rs 130 per share from my fair value.

WHAT I AM WATCHING

- **AAHL capital raise and listing timetable:** closure of the reported USD 1.3 bn round and any board approval of a demerger scheme. This is the single largest re-rating trigger.
- **Navi Mumbai traffic ramp:** monthly passenger and ATM data following the 15 July 2026 start of international operations. My airports forecast needs NMIA to reach meaningful utilisation by FY28.
- **Kutch Copper utilisation and TC/RC:** Q1 FY27 delivered Rs 749 cr of EBITDA on 64.7 kt. Sustained quarterly run-rate above 100 kt would take my copper estimate materially higher.
- **Data centre conversion:** 960+ MW is contracted against 65.4 MW live. Watch the pace of handover, not the pace of order announcements.
- **Defence order inflow:** conversion of the DRDO pipeline (NGARM, RUDRAM-II, NASM-SR, Gaurav, TARA) into production contracts, and any first export order from Shivpuri or Kanpur.
- **Net debt trajectory:** the FY27 half-year balance sheet will show whether the QIP proceeds are being used to deleverage or to fund the next capex cycle.